

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

	X	
INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	

**BRIEF OF
INTERNATIONAL LONGSHOREMEN’S ASSOCIATION
IN OPPOSITION TO RESPONDENTS’
SOVEREIGN IMMUNITY BRIEF AND SECOND MOTION
TO DISMISS THE AMENDED VERIFIED COMPLAINT**

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INTRODUCTION

Complainant International Longshoremen’s Association (ILA) submits this opposition to the Supplemental Brief filed by Gateway Terminals, LLC, (Gateway), Charleston Stevedoring Company, LLC, (CSC), Ports America Florida, Inc., (Ports America), SSA Atlantic, LLC, (SSA), and Ceres Marine Terminals, Inc. (Ceres) (collectively, Respondents).¹ As the ILA explained in its own brief on sovereign immunity, and as the Respondents concede, Respondents are not “arms of any state.” However, Respondents have in effect used their brief as a third motion to dismiss, this time raising an entirely new argument not raised before—as well as rehashing several old arguments. Respondents argue for the first time that dismissal is warranted because the Amended Verified Complaint (AVC) failed to join indispensable parties, namely, the South Carolina State Ports Authority (SCPA) and the Georgia Ports Authority (GPA) (collectively, state port authorities). This brief establishes that (1) those state port authorities are not indispensable parties to this proceeding; and (2) the Commission should not entertain Respondents’ repetitive arguments in support of dismissal.

ARGUMENT

Respondents’ argument that the state port authorities are indispensable parties was not raised in either Respondents’ MTD or the SMTD. Respondents’ remaining arguments repeat and rehash those arguments raised in Respondents’ MTD and SMTD and must thus be ignored by the Commission.

¹ References to the ILA’s Amended Verified Complaint will be cited as AVC ___. References to the Respondents’ Brief on the Application of Sovereign Immunity will be cited as Resp. Br. ___. References to Respondent’s first Motion to Dismiss will be cited as MTD Br. ___. References to Respondents’ second Motion to Dismiss and Motion to Strike will be cited as SMTD Br. ___.

I.

THE STATE PORT AUTHORITIES ARE NOT INDISPENSABLE PARTIES TO THIS PROCEEDING

Commission Rule 12 provides that “[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Under Rule 12(b)(7), an action may be dismissed if the plaintiff fails to join a party that is “indispensable” to the action. Fed. R. Civ. P. 12(b)(7); see *Viacom Int’l, Inc. v. Kearney*, 212 F.3d 721, 724 (2d Cir. 2000). To be indispensable, a party must first be proven “necessary” under Rule 19(a). Fed. R. Civ. P. 19(a). To decide whether the state ports authorities are necessary, the Commission must determine (1) whether the Commission is able to provide complete relief between the named parties to this private party complaint; and (2) whether the port authorities “‘have[] an interest relating to the subject of [this] action’” whose ability to protect that interest will be impaired if excluded from the existing suit. *McKiver v. Murphy-Brown, LLC*, 980 F.3d 937, 950-51 (4th Cir. 2020) (citing Rule 19(a)(1)(B)); see also *Fed. Ins. Co. v. SafeNet, Inc.*, 758 F. Supp. 2d 251, 258 (S.D.N.Y. 2010).

Only if relief cannot be given in the absence of the non-party, or if the non-party cannot protect a claimed interest if excluded from the suit, is the non-party necessary. *Fed Ins. Co.*, 758 F. Supp. 2d at 258.

A. The Ports Authorities Are Not Necessary Parties

The first prong of the Rule 19(a) inquiry focuses on whether the Commission can grant complete relief in the absence of the non-party. Fed. R. Civ. P. 19(a)(1)(A). The second prong of Rule 19(a) focuses on whether the non-party has a claimed interest which must be protected in the

proceeding.² *MasterCard Int’l, Inc. v. Visa Int’l Serv. Ass’n, Inc.*, 471 F.3d 377, 385 (2d Cir. 2006). The Second Circuit has explained:

It is not enough under Rule 19 for a third party to have an interest, even a very strong interest, in the litigation. Nor is it enough for a third party to be adversely affected by the outcome of the litigation. Rather, necessary parties under Rule 19 are only those parties whose ability to protect their interests would be impaired **because of** that party's absence from the litigation.

Id. at 385 (emphasis supplied).

It is clear from the relief sought by the AVC that the state port authorities’ absence does not prevent the Commission from granting complete relief between the ILA and the Respondents. Respondents circularly argue that without the port authorities in the proceeding, the ILA cannot receive relief from the Commission because the Respondents entered into the joint ventures at the request of the port authorities. But the AVC alleges that the Respondents are violating the Shipping Act and asks the Commission to determine whether the conduct of the privately owned Respondents violate Sections 41102 and 41106. Even if the port authorities’ policy decisions may be frustrated by the Commission’s finding that Respondents’ conduct violated the Act, Rule 19(a) is concerned only with **the existing parties to the proceeding**. *MasterCard*, 471 F. 3d at 385. The Commission can resolve whether the Respondents have violated the Act without the state port authorities’ presence in the case, and the ILA can obtain the complete relief sought within the AVC from the Respondents alone.

Second, despite Respondents’ arguments that the Commission’s decisions would frustrate state policy choices, even if that bare assertion were true, that is not a sufficient interest under Rule 19(a)(1)(B) to make the state port authorities necessary. 471 F.3d 377, 385. “[E]ven if [an absent

² Tellingly, the Supplemental Brief does not include this analysis or any case law to support its arguments that the state ports authorities are necessary.

party] is alleged to have played a central role” in the action at issue, “and even if resolution of the action will require the court to evaluate the absent party’s conduct,” that party “in many cases. . . will not have interests that warrant protection under Rule 19(a)(1)(B).” *Ward v. Apple Inc.*, 791 F.3d 1041, 1050 (9th Cir. 2015) (abrogated on other grounds) (recognizing that antitrust co-conspirators rarely have sufficient interests to be necessary parties). The port authorities have not “claimed an interest relating to the subject of [this] action” before the Commission, and the AVC does not assert any claim which challenges the state port authorities’ own practices or procedures. Fed. R. Civ. P. 19(a)(1)(B)(i).³ The AVC only challenges the manner in which Respondents operate the two joint ventures.

As an aside, the port authorities’ status as arms of state does not prevent them from asserting and protecting their interests in this proceeding. “Eleventh Amendment sovereign immunity is not absolute. The state may waive its sovereign immunity and consent to suit in federal [forums].” *MediGrow, LLC v. Natalie M. LaPrade Med. Cannabis Comm’n*, 487 F. Supp. 3d 364, 372-73 (D. Md. 2020). For example, the Georgia Ports Authority has moved for a special appearance in this case. *E.g., Lapidus v. Bd. of Regents of Univ. Sys. of Georgia*, 535 U.S. 613, 619 (2002) (“It would seem anomalous or inconsistent for a State both (1) to invoke federal jurisdiction, thereby contending that the ‘Judicial power of the United States’ extends to the case at hand, and (2) to claim Eleventh Amendment immunity, thereby denying that the ‘Judicial power of the United States’ extends to the case at hand.”) (citing U.S. Const. Art. XI).

³ Indeed, the sort of party traditionally deemed a necessary one under Rule 19(a)(1)(B) is one who would be considered a third party beneficiary or an indemnifier of one of the named parties. *E.g., Nat’l Union Fire Ins. Co. v. Rite Aid of S.C., Inc.*, 210 F.3d 246, 251 (4th Cir. 2000) (indicating court’s decision would “necessarily require it to interpret the notice provisions of the policy and other agreements” between the plaintiff and the absent party). The non-party’s interests are sufficient under Rule 19(a)(1)(B) because the underlying proceeding decides those interests for the non-party. *See MasterCard*, 471 F.3d at 385. The state port authorities do not fit this mold.

Because the state port authorities are free to waive their state sovereign immunity to protect their interests in this case, it cannot be said that the state port authorities are necessary parties under Rule 19(a)(1)(B). *See id.*

B. Even if the State Port Authorities Were Necessary, Dismissal is Not Warranted

Even assuming that the port authorities were necessary parties under Rule 19(a), dismissal of the AVC would still not be warranted. Rule 19(b) is not mechanical: “If a person who is required to be joined if feasible cannot be joined, the court must determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed.” Fed. R. Civ. P. 19(b). In this regard, Rule 19 enumerates several factors before determining that the necessary party is an indispensable one:

- (1) the extent to which a judgment rendered in the person's absence might prejudice that person or the existing parties;
 - (2) the extent to which any prejudice could be lessened or avoided by:
 - (A) protective provisions in the judgment;
 - (B) shaping the relief; or
 - (C) other measures;
 - (3) whether a judgment rendered in the person's absence would be adequate;
- and
- (4) whether the plaintiff would have an adequate remedy if the action were dismissed for nonjoinder.

Fed. R. Civ. P. 19(b).

“Courts are loath to dismiss cases based on nonjoinder of a party, so dismissal will be ordered only when the resulting defect cannot be remedied and prejudice or inefficiency will certainly result.” *McKiver*, 980 F.3d 937, 950-51 (4th Cir. 2020) (citations omitted).

The port authorities will not be prejudiced by a decision by the Commission in favor of the ILA because it will only resolve whether the private party Respondents have violated the Shipping Act. Rule 19(b)(1). The Respondents cannot be prejudiced because they have had and will have

ample opportunity to argue on their own behalf. If Respondents’ arguments were to hold sway, the ILA—and any other potential claimant—would have no remedy to address the Respondents’ alleged violations of the Shipping Act. Moreover, Respondents would be similarly immune from liability under numerous other federal statutes if they could simply argue that their actions were done at the request of a state port authority.

Dismissal of a case under Rule 19 is “a drastic remedy that should be employed only sparingly.” *McKiver*, 980 F.3d at 950-51. Such a remedy is not warranted here.

II.

THE COMMISSION CANNOT CONSIDER RESPONDENTS’ REPETITIVE ARGUMENTS FOR DISMISSAL

Commission Rule 69(d) states that a “repetitious motion will not be entertained.” 46 C.F.R. § 502.69(d). The Commission likewise has generally declined to entertain repetitious requests for relief. *Nnabugwu Chinedu Andrew v. Marine Transp. Logistics, Inc.*, 20-12, 2021 WL 3488331, at *1 (Aug. 3, 2021) (Wirth, ALJ) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 09-01, 2013 WL 9808668 (Jan. 31, 2013)). Taking advantage of ALJ Wirth’s August 18, 2022 Order, Respondents converted their brief from the brief sought by the Order into a second motion to dismiss the ILA’s AVC and third chance at dismissal of this proceeding. *See* Resp. Br., pp. 9-10; *accord* 46 C.F.R. § 502.69.

Respondents’ arguments in Section IV of the Supplemental Brief are particularly repetitious. Resp. Br. p. 8. These arguments rehash those raised by Respondents in the SMTD which have been denied by ALJ Wirth. June 23, 2022 Order, p. 4-5 (“The amended complaint. . . alleges that the cooperative working agreement by Respondents violates section 41106(2) by creating a monopoly in Charleston and Savannah. . . and alleges that Respondents eliminated

competition, making carriers unable to meaningfully negotiate rates, in violation of section 41106(3) The amended complaint raises allegations of Shipping Act violations and is sufficiently detailed regarding the behavior alleged to be violations of the Shipping Act.”).

Doubling down, Respondents also argue that because the Respondents acted at the invitation of the state policy makers to create the joint ventures, their decisions to enter the joint ventures must have been reasonable.⁴ Resp. Br. p. 8. Respondents provide no Commission or federal case law to support this argument.

Respondents next erroneously argue that it is the ILA’s burden to plead that Respondents’ violations of the Act cannot be justified by transportation related factors. *Id.* This is incorrect. Once a complainant has alleged that the Commission has jurisdiction over the respondent, *see* June 23, 2022 Order, pp. 4, and that the respondent has refused to negotiate or refuses to deal with the complainant, *Id.* at pp. 4-5, the burden shifts to the respondent to show a transportation-related reason for that refusal. *See Lisa Anne Cornell v. Princess Cruise Lines, Ltd.*, No. 13-02, 2013 WL 9808684 (F.M.C. 2013) (plaintiff established Section 10(b)(10) (predecessor of 29 U.S.C. § 41106) violation by common carrier because carrier could not articulate transportation-related reason why married couple could not utilize carrier’s cruise services).

Each of Respondents’ arguments supporting dismissal of the AVC could have and should have been raised in the pending partial motion to dismiss. The Commission cannot permit Respondents to file motions for dismissal over and over until an argument sticks. To the extent Respondents’ Supplemental Brief seeks dismissal of the AVC, those arguments should not be entertained. 46 C.F.R. § 502.69(d); *see e.g., Holt Cargo Systems, Inc. v. Delaware River Port*

⁴ The Respondents’ reliance on the Commission’s recent discussion of reasonableness in the Commission’s September 13, 2022 proposed rulemaking is inapposite because the ILA has never alleged that Respondents are ocean carriers.

Auth., 28 S.R.R. 1268, 1272 (ALJ 1999) (explaining that the Commission regularly declines to entertain repetitious requests for relief.).

CONCLUSION

For the foregoing reasons, the Commission should conclude that sovereign immunity has no bearing on this proceeding and should deny Respondents' request to dismiss the AVC.

Dated: September 29, 2022
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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 29th Day of September, 2022.

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